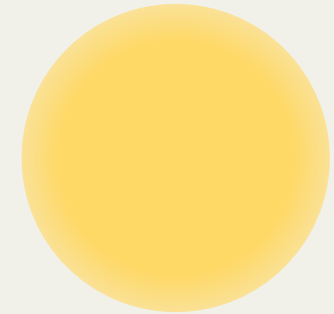


AI and Mental Health



Aadyaa and Jane | 18 Jun 2026 | CMU AI in a Human Society RG

Today's Session

1. California Companion Chatbots Law (CA SB 243)
2. Illinois Wellness and Oversight for Psychological Resources Act
(IL HB 1806)
3. Garcia v. Character AI: Analyzing a Motion to Dismiss



CA SB 243

California's Companion Chatbots Law

Companion Chatbots

Nearly 3 in 4 Teens Have Used AI Companions, New National Survey Finds

Common Sense Media research reveals majority of teens have used AI companions, with half using them regularly

Common Sense Media
Wednesday, July 16, 2025

SAN FRANCISCO, July 16, 2025 — Common Sense Media today released the report "Talk, Trust, and Trade-Offs: How and Why Teens Use AI Companions," which revealed widespread use of social AI companions among users ages 13-17. The research underscores that the use of AI companions is not a niche interest, but rather mainstream teen behavior.

Interaction with AI Companions and Psychological Well-being

Yutong Zhang^{1*}, Dora Zhao¹, Jeffrey T. Hancock², Robert Kraut³,
Diyi Yang^{1*}

¹Department of Computer Science, Stanford University, Stanford, 94305, CA, USA.

²Department of Communication, Stanford University, Stanford, 94305, CA, USA.

³School of Computer Science, Carnegie Mellon University, Pittsburgh, 15213, PA, USA.

(a)



Companionship

See chatbots as a personal, human means of interaction with social value or use chatbots to strengthen social interactions with other people.

E.g., "friend, companion, therapist, romantic partner, support, listener"



Entertainment

Using chatbots for fun or to pass the time.

E.g., "fun, roleplay partner, entertainer, toy, game"



Productivity

Using chatbots to obtain assistance or information.

E.g., "tool, system, assistant, resource, helper, writing tool"



Curiosity

Using chatbots out of curiosity or to explore their capabilities.

E.g., "curiosity, extension, experiment, exploration"

FTC Launches Inquiry into AI Chatbots Acting as Companions

Agency issues 6(b) orders to seven companies that operate consumer-facing AI chatbots

Overview of CA SB 243

1. Imposes a number of obligations on operators of companion chatbot platforms in order to safeguard users.
2. Individuals can bring a civil action for injunctive relief, damages (\$1000 per violation), and reasonable attorneys' fees and costs.
3. Lead authors: Padilla (D - San Diego), Becker (D - Menlo Park).
4. Signed: October 13, 2025.
5. In effect: January 1, 2026.

Key Terms in CA SB 243

1. **"Companion chatbot"** means an artificial intelligence system with a natural language interface that provides adaptive, human-like responses to user inputs and is capable of meeting a user's social needs, including by exhibiting anthropomorphic features and being able to sustain a relationship across multiple interactions.
2. **"Companion chatbot platform"** means a platform that allows a user to engage with companion chatbots.
3. **"Operator"** means a person who makes a companion chatbot platform available to a user in the state.
4. **"Office"** means the Office of Suicide Prevention established pursuant to Section 131300 of the Health and Safety Code.

What Aren't Companion Chatbots Under CA SB 243?

"Companion chatbot" does not include any of the following:

- (A) A bot that is **used only** for customer service, a **business'** operational purposes, productivity and analysis related to source information, internal research, or technical assistance.
- (B) A bot that is a feature of a **video game** and is limited to replies related to the video game that cannot discuss topics related to mental health, self-harm, sexually explicit conduct, or maintain a dialogue on other topics unrelated to the video game.
- (C) A **stand-alone consumer electronic device** that functions as a speaker and voice command interface, acts as a voice-activated virtual assistant, and does not sustain a relationship across multiple interactions or generate outputs that are likely to elicit emotional responses in the user.

Operator Obligations (General)

1. If a **reasonable person** interacting with a companion chatbot would be misled to believe that the person is interacting with a human, **an operator shall issue a clear and conspicuous notification** indicating that the companion chatbot is artificially generated and not human.
2. An operator shall prevent a companion chatbot on its companion chatbot platform from engaging with users unless **the operator maintains a protocol** for preventing the production of suicidal ideation, suicide, or self-harm content to the user, including, but not limited to, by providing a notification to the user that refers the user to crisis service providers, including a suicide hotline or crisis text line, if the user expresses suicidal ideation, suicide, or self-harm.
3. The **operator shall publish details on the protocol** required by this subdivision on the operator's internet website.

Operator Obligations (Minors)

An operator shall, for a user that the operator knows is a minor, do all of the following:

- (1) Disclose to the user that the user is interacting with artificial intelligence.
- (2) Provide by default a clear and conspicuous notification to the user at least every three hours for continuing companion chatbot interactions that reminds the user to take a break and that the companion chatbot is artificially generated and not human.
- (3) Institute reasonable measures to prevent its companion chatbot from producing visual material of sexually explicit conduct or directly stating that the minor should engage in sexually explicit conduct.

Operator Obligations (Reporting)

Beginning July 1, 2027, an operator shall annually report to the office all of the following:

- (1) The number of times the operator has issued a crisis service provider referral notification pursuant to Section 22602 in the preceding calendar year.
- (2) Protocols put in place to detect, remove, and respond to instances of suicidal ideation by users.
- (3) Protocols put in place to prohibit a companion chatbot response about suicidal ideation or actions with the user.

The report required by this section shall include only the information listed in subdivision (a) and shall not include any identifiers or personal information about users.

The office shall post data from a report required by this section on its internet website. An operator shall use evidence-based methods for measuring suicidal ideation.

Discussion

1. Definition of companion chatbot says "is capable of", not "intended for"?
2. Why separate terms: "companion chatbot platform" and "operator"?
3. Exclusions for bots made for specific purposes, but LLMs can be jailbroken? Why these exemptions?
4. Are disclosures enough/helpful?
5. Operator obligations for minors: age verification?
6. Reporting requirements:
 - a. Why were these requirements chosen? No reporting of protocols for explicit content shown to minors?
 - b. Reports used for audits?



Illinois House Bill 1806

The Wellness and Oversight for Psychological Resources Act



Main purpose

Ensure individual consumers seeking (psycho)therapy services receive them from licensed/qualified professionals, and NOT unregulated systems such as AI tools.

Therapeutic Communication

Interactions conducted in clinical/professional settings intended to diagnose, treat, or address mental/emotional health concerns.

- Direct interactions with clients to understand/reflect thoughts, emotions or experiences
- Offer emotional support, reassurance, or empathy in response to psychological/emotional distress
- Provide guidance, therapeutic strategies, and clinical interventions to achieve mental health outcomes
- Collaborate on developing or modifying therapeutic goals or treatment plans
- Provide behavioral feedback to promote psychological growth or address mental health conditions



Permitted Use

Admin support

- Manage appointments
- Process billing & claims
- Draft communications on logistics (non-therapeutic advice/communication)

Supplementary support

- Manage client records (e.g., therapy notes)
- Analyze trends with anonymized client data
- Manage external resources for clients

Patient-authorized use

- For supplementary support by professional
- Patient's transcribed or recorded session
- Informed consent (about use & purpose)

Prohibited Use

- (Psycho)therapy can't be offered by individuals, corporations or entities (including AI) without professional license

Licensed professionals cannot let AI

1. Make independent therapeutic decisions
2. Interact with clients in therapeutic communication
3. Generate therapeutic recommendations or treatment plans without their review & approval
4. Detect mental/emotional states

Applicable & Exempt Groups



Licensed professionals

- Clinical psychologist
 - Social workers, counselors
 - Marriage/family/music therapists
 - Anyone authorized to provide (psycho)therapy services;
except physicians
-



Peer support

Services from individuals with lived experience intended to offer encouragement, understanding & guidance without clinical intervention.



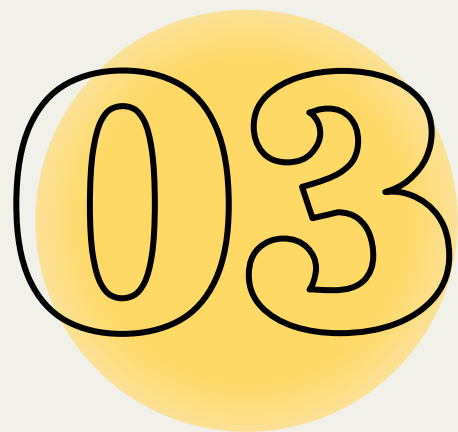
Religious counseling

Faith-based services by clergy members, pastoral counselors & other religious leaders, not represented as mental health services



Questions for discussion/thought

1. What other uses that should be prohibited?
2. Are patients likely to authorize AI use for supplementary support?
3. (How) should other states follow suit?
 - a. Nevada: AB 406. Effective since June 5, 2025
 - b. Tennessee: HB1470/SB1580 - prohibits development of chatbots that portray themselves as qualified mental health professionals.
Effective July 1, 2026.
 - c. New York: SB 8484. In Senate Committee



Garcia v. Character.AI

Overview of Garcia v. Character AI

- Parties involved:
 - Plaintiff: Megan Garcia representing son Sewell Setzer Jr.
 - Defendants:
 - Character Technologies Inc.
 - Noam Shazeer & Daniel de Frietas
 - Google LLC & Alphabet Inc.
- Judges involved:
 - Anne C. Conway (District Court, Florida)
- Current status:
 - Settled as of January 2026

Background

- Character Technologies & App
 - Founded by Shazeer & Frietas (previously worked on LaMDA)
 - Google employee concerned on their attempted release of LaMDA:
 - users might "ascribe too much meaning to the text [output by LLMs]"
 - Google supplied "accelerators, GPUs, and TPUs" for Character Technologies
 - In 2024, Google bought a non-exclusive licence & hired employees
 - (Premium) Users interact with Characters for free (\$9.99 / month)
 - Characters are anthropomorphic & insist they're human
- Story of Sewell Setzer III
 - Began interacting with Characters, April 2023
 - Addiction led to mental health decline (sought therapy)

Motion to Dismiss Plaintiff's Amended Complaint

1. Plaintiff's amended complaint :
 - a. "Defendants committed a variety of torts, including products liability, intentional infliction of emotional distress (IIED), unjust enrichment, and wrongful death."
 - b. "Defendants violated the Florida Deceptive and Unfair Trade Practices Act (FDUTPA)"
2. Motion to dismiss this complaint filed by defendants (Character AI, Google).
3. How motions to dismiss are analyzed:
 - a. "Plaintiff's facts and allegations are taken as true for the purposes of this Order"

Defendants' Arguments for Motion to Dismiss

1. "Impermissible shotgun pleading"
2. Individual defendants claim "the Court has no personal jurisdiction over them"
3. Google maintains it "cannot be liable for harms allegedly caused by Character AI":
 - a. Google "did not manufacture or distribute Character AI"
 - b. "Its role as an investor in and service provider ... does not support a claim for aiding and abetting"
4. "First Amendment precludes all Plaintiff's claims"
5. "Character AI is not a product for the purposes of product liability"

Verdict: Motion to Dismiss Denied and Granted in Parts

Defendants' Arguments	Motion to Dismiss granted?	Legal Concepts	Reasoning
Impermissible shotgun pleading	No	Shotgun pleading	"Plaintiff's Amended Complaint, though not a model of clarity, gives Defendants adequate notice of the claims against them and the grounds upon which each claim rests."
Court has no personal jurisdiction over individual defendants	No (denied without prejudice)	Long-arm jurisdiction, alter-ego exception	Defendants must (and did not) provide supporting affidavits for alter-ego personal jurisdiction analysis
Google did not manufacture or distribute	No	Component part manufacturer	Plaintiff alleges Google contributed intellectual property (LaMDA) and ML infra (e.g., TPUs), without which Character AI would not be a product
Google is liable for aiding and abetting	No	Aiding and abetting (knowledge of violation, substantial assistance)	Plaintiff alleges Google internal reports revealed the defective nature of LaMDA, their ML infra was only available to "highly sophisticated parties and were catered to fit Character AI technologies"

Verdict: Motion to Dismiss Denied and Granted in Parts

Defendants' Arguments	Motion to Dismiss granted?	Legal Concepts	Reasoning
First Amendment	Yes (in parts)	Asserting First Amendment rights for third-parties, definition for speech	Character Technologies can advocate for its users' purported First Amendment right to receive Character AI's "speech.", but defendants must convince the Court that their LLM's outputs are speech.
Character AI is not a product for the purposes of product liability	No	Product liability actions, definitions for service vs product	Harmful interactions were only possible because of the alleged design defects in the Character AI app. Design defects: no age verification/controls, no reporting mechanisms, no opting out of indecent content
Plaintiff's claims: duty, negligence, failure to warn, violation of FDUTPA (deception), IIED (emotional distress), unjust enrichment	No, except for IIED claim	Each claim has a mechanism for proof e.g. IIED requires plaintiff to be present to witness the outrageous conduct	For IIED: No offensive physical contact, plaintiff not present to witness outrageous conduct

Discussion

1. Thoughts on the reasoning:
 - a. When are infra providers "component part manufacturer"s vs not?
 - b. When is LLM output "speech" vs not?
 - c. Products vs services in the digital age?
2. Other than suicide, what other harms (e.g., mental health decline, financial loss) can defective AI products lead to?
3. What gaps do the laws discussed in the verdict have?
4. How would recently introduced acts like GUARD affect outcomes of similar cases? GUARD requires AI chatbots to implement age verification and has stronger penalties (\$250,000 fine).



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